

UNITED STATES DISTRICT COURT
CENTRAL DISTRICT OF CALIFORNIA

CIVIL MINUTES – GENERAL

Case No. 2:25-cv-01085 MWC (SSCx) Date: July 18, 2025

Title Jing Yuan v. Shuogang Chen

Present: The Honorable: Michelle Williams Court, United States District Judge

T. Jackson
Deputy Clerk

No Reporter
Court Reporter / Recorder

Attorneys Present for Plaintiffs:
N/A

Attorneys Present for Defendants:
N/A

Proceedings: (IN CHAMBERS) Order GRANTING Petitioner’s Second Amended Petition to Confirm Arbitration and for Entry of Judgment (Dkt. 25) and GRANTING leave to file declaration one day late (Dkt. 26)

Before the Court is a second amended petition to confirm an arbitration award and for entry of judgment filed by Petitioner Jing Yuan (“Petitioner”). Dkt. # 25 (“*Pet.*”). Shuogang Chen (“Respondent”) opposed, Dkt. # 28 (“*Opp.*”), and Petitioner replied, Dkt. # 29 (“*Reply*”). Petitioner additionally filed a motion for leave to file a one-day late declaration. Dkt. # 26 (“*Leave*”). The Court finds the matter appropriate for decision without oral argument. *See* Fed. R. Civ. P. 78; L.R. 7-15. Having considered the papers, the Court **GRANTS** Petitioner’s second amended petition to confirm arbitration and for entry of judgment and **GRANTS** leave for the late declaration.

I. Background

Petitioner seeks to confirm an international arbitration award, which resolved a contract dispute between Petitioner and Respondent. *Pet.*

On August 15, 2019, Petitioner and Respondent entered into a Share Transfer and Nominee Agreement (“Transfer Agreement”) and a Concert Party Agreement. Dkt. # 25-1 (“*Wu Decl.*”), ¶¶ 4, 6; Dkt. # 25-1, Ex. E (“*Arb. Award*”), 146, 149.¹ Petitioner was an employee of Erdong Pictures Co., Ltd. (“Erdong”), and Respondent controlled Erdong and was its legal representative and a shareholder. *Wu Decl.*, Ex. A (“*Transfer*

¹ In this Order, the Court cites to the electronic ECF docket page numbers in the certified English translation of the arbitration award.

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Agreement”), 15; *Arb. Award* 150–51. The Transfer Agreement stated that Respondent would transfer 1,000 ordinary shares of Erdong to the Petitioner, for an aggregate price of USD 2,000,000. *Wu Decl.* ¶¶ 4, 6; *Arb. Award* 149. The Transfer Agreement noted that if Erdong failed to complete its initial public offering (“IPO”) within 12 months of the Transfer Agreement’s effective date, Petitioner would be entitled to require Respondent to repurchase the shares at the original transfer price plus interest. *Wu Decl.* ¶ 8; *Arb. Award* 149. When Erdong failed to complete its IPO within 12 months, Petitioner attempted to contact Respondent several times. *Wu Decl.* ¶¶ 10–11; *Arb. Award* 150. Respondent did not respond. *Wu Decl.* ¶¶ 10–11; *Arb. Award* 150.

On June 16, 2021, Petitioner initiated arbitration with the China International Economic and Trade Arbitration Commission (“CIETAC”) against Respondent, seeking an order for Respondent to repurchase the shares under the Transfer Agreement. *Wu Decl.* ¶ 15; *Arb Award* 150. CIETAC’s Arbitration Rules (the “CIETAC Rules”) governed the arbitration. *Arb. Award* 146.

On July 19, 2021, CIETAC (through its “Arbitration Court”) sent the arbitration notice, the CIETAC Rules, and an arbitrator directory to Petitioner and Respondent via express delivery to addresses provided by Petitioner in the arbitration application. *Id.* at 146. The same day, CIETAC sent the arbitration application to Respondent at Erdong’s last known business address: Building 1, Erdong Cultural Industry Park, Jian Gong Power Port Center, Baiziwan No. 14, East Fourth Ring Middle Road, Chaoyang District, Beijing (the “Erdong Address”). *Id.* The documents sent to Respondent “were returned.” *Id.* CIETAC then sent a written request to Petitioner to confirm Respondent’s valid delivery address. *Id.* On August 11, 2021, Petitioner submitted a statement titled, “Explanation on Confirming Respondent’s Last Known Address,” which provided a new Beijing address for Respondent (the “Room 1507 Address”). *Id.* 146–47. CIETAC attempted to send express delivery service to the Room 1507 Address, but “it was returned once more.” *Id.* at 147. CIETAC proceeded to send the arbitration notice to Respondent through notarized service and determined that “[u]pon verification, the aforementioned documents were effectively served.” *Id.* During the arbitration, CIETAC sent all other documents to Respondent using notarized service. *Id.* The parties agree that notarized service in China does not indicate that the documents were personally served on a respondent, but rather notarized service is confirmation of the process followed. *See Opp.* 6:17–26 (“The term Notarized Service is only confirmation of the process followed. The notary merely observes what the process server did and

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then prepares a notarized certification of what he or she observed.”); *Reply* 14:7–15 (“The Arbitration Court effectuated notarized service in accordance with the CIETAC Rules Article 8 Article 8 of the CIETAC Rules requires only service by ‘means that can provide a record of the attempt at delivery,’ not proof of receipt.” (emphasis omitted)).

On February 10, 2022, CIETAC issued an order analyzing the facts of the arbitration and, in a unanimous panel, ordered Respondent to pay Petitioner the share repurchase amount with 10% annual interest, as well as compensation for the delayed payment, attorney fees, and arbitration expenses. *Arb. Award* 158. On February 7, 2025, Petitioner filed a petition with this Court to confirm CIETAC’s February 10, 2022 arbitration award against Respondent. Dkt. # 1. On March 5, 2025, Respondent filed a motion to dismiss. Dkt. # 13. On March 21, 2025, Petitioner filed a first amended petition, Dkt. # 16, mooted Respondent’s motion to dismiss, Dkt. # 17. On April 7, 2025, Respondent filed a motion to dismiss the first amended petition. Dkt. # 20. The Court granted the motion to dismiss with leave to amend. Dkt. # 24. On June 6, 2025, Petitioner filed this second amended petition.² *Pet.*

II. Legal Standard

The United Nations Convention on the Recognition and Enforcement of Foreign Arbitral Awards, also known as the New York Convention, “applies to arbitral awards ‘made’ in a foreign country that a party seeks to enforce in the United States.” *CBF Industria de Gusa S/A v. AMCI Holdings, Inc.*, 850 F.3d 58, 70 (2d Cir. 2017). The Federal Arbitration Act incorporates the provisions of the New York Convention into the United States Code. *See* 9 U.S.C. §§ 201–208. Like the United States, the People’s Republic of China has ratified the New York Convention. *Liu Luwei v. Phyto Tech Corp.*, No. CV 18-2174-JFW(GJSx), 2018 WL 6016958, *2 (C.D. Cal. June 18, 2018) (citation omitted).

² Petitioner filed a declaration a few days after filing the second amended petition and asked the Court to allow the late filing. *Leave*. Due to the complications stemming from the international nature of this litigation, the Court **GRANTS** leave and has reviewed the declaration.

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A district court’s review of a foreign arbitral award “is strictly limited.” *Pacer Construction Holdings Corp. v. Pelletier*, No. 19-cv-1263-MMA (BGS), 2020 WL 977871, at *2 (S.D. Cal. Feb. 28, 2020) (citation omitted); *Luwei*, 2018 WL 6016958, at *2 (“When considering petitions to recognize a foreign arbitration award, courts have ‘little discretion.’” (citation omitted)).

Article V of the New York Convention “sets out five grounds for refusal that may be raised by parties and two grounds that may be granted by the court *sua sponte*.” *Changzhou AMEC Eastern Tools and Equipment Co., Ltd v. Eastern Tools & Equipment, Inc.*, No. EDCV 11-00354 VAP (DTBx), 2012 WL 3106620, at *8 (C.D. Cal. July 30, 2012) (citation omitted). “Respondent has the burden of establishing a defense against enforcement under the Convention because there is a strong presumption in favor of confirmation of arbitral awards.” *Id.* (citing *Polimaster Ltd. v. RAE Sys., Inc.*, 623 F.3d 832, 836 (9th Cir. 2010)). “The presumption in favor of confirmation is based on the goal of the Convention, which is to encourage the recognition of international arbitral agreements.” *Id.* (citing *Scherk v. Alberto-Culver Co.*, 417 U.S. 506, 520, n.15 (1974)). Therefore, “courts have adopted a narrow view of the defenses enumerated in the Convention.” *Id.* (citation omitted). “Absent a convincing showing that one of [the Convention’s] narrow exceptions applies, the arbitral award will be confirmed.” *Id.* (citations omitted).

Relevant to this litigation, Article V of the New York Convention provides defenses relating to notice and public policy:

1. Recognition and enforcement of the award may be refused, at the request of the party against whom it is invoked, only if that party furnishes to the competent authority where the recognition and enforcement is sought, proof that The party against whom the award is invoked was not given proper notice of the appointment of the arbitrator or of the arbitration proceedings or was otherwise unable to present his case
2. Recognition and enforcement of an arbitral award may also be refused if the competent authority in the country where recognition and enforcement is

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sought finds that . . . The recognition or enforcement of the award would be contrary to the public policy of that country.

New York Convention, Ar. V(1)(b), (2)(b).

III. Discussion

Respondent opposes confirmation of Petitioner’s arbitration award on three grounds: (1) Respondent was not provided proper notice of the proceedings or an opportunity to be heard; (2) enforcement of the award contains an unenforceable liquidated damages clause; and (3) the arbitration award entered against Respondent includes attorney fees for Petitioner in violation of the “American Rule.” *See generally Opp*. The Court addresses each argument in turn.

A. Proper Notice

Respondent argues he never received proper notice of the arbitration of the proceedings under Article V of the New York Convention. *Id.* 5:7–8:3. Respondent argues that CIETAC sent arbitration notice to two addresses, both of which returned the notice as undeliverable. *Id.* Respondent asserts that the arbitration award merely concludes “notarized service” was provided, without indicating how the documents were served or who received the documents. *Id.* Respondent claims he was not aware of the arbitration proceedings, which took place in China, because he had been living in California since January 2021. Dkt. # 20-2, ¶¶ 5–7.

Petitioner responds that proper notice—rather than actual notice—is sufficient and that CIETAC effectuated proper notice pursuant to the CIETAC Rules, including sending service to both Respondent’s last known residential address (now his parents’ address) and his last known business address (the address of Erdong, the business at the center of the Transfer Agreement). *Reply* 9:17–12:18. Petitioner further asserts that Respondent knew Erdong had not launched a successful IPO in the Transfer Agreement’s 12-month timeline, and therefore Respondent had actual notice that Petitioner would ask to repurchase shares, yet Respondent failed to respond to Petitioner’s messages and left the country without properly updating his change of address. *Id.* 12:19–13:25.

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Courts have interpreted the New York Convention’s proper notice standard as requiring compliance with federal due process. *See Linley Invs. v. Jamgotchian*, No. CV 11-724 JAK (RZx), 2012 WL 12953824, at *4 (C.D. Cal. May 11, 2012). “The fundamental requirement of due process is the opportunity to be heard at a ‘meaningful time and in a meaningful manner.’” *Iran Aircraft Indus. V. Avco Corp.*, 980 F.2d 141, 146 (2d Cir. 1992) (quoting *Mathews v. Eldridge*, 424 U.S. 319, 333 (1976)). Key to this requirement is whether notice was “reasonably calculated, under all the circumstances, to apprise interested persons of the pendency of the action and afford them an opportunity to present their objections.” *Mullane v. Central Hanover Bank & Trust. Co.*, 339 U.S. 306, 314 (1950) (citations omitted); *see also Linley Invs. v. Jamgotchian*, 670 F. App’x 627, 628 (9th Cir. 2016) (applying this standard to confirm foreign arbitration award).

In international arbitration cases, even when respondents allege lack of actual notice, courts have determined that proper notice was provided if service was attempted and was reasonably calculated to provide notice to the respondents. *See Linley*, 2012 WL 12953824, at *4 (finding notice sent to respondent’s listed email address and mailing address satisfied due process requirements, even though respondent contended he did not receive actual notice because he was traveling and his fax machine was unplugged); *Tianjin Port Free Trade Zone Int’l Trade Service Co., Ltd., v. Tiancheng Int’l Inc.*, No. ED CV 17-2127 PA (SHKx), 2018 WL 4502497, at *4 (C.D. Cal. Sept. 18, 2018) (determining that although respondent claimed he did not receive notice, CIETAC’s arbitration award had “detail[ed] CIETAC’s efforts to provide notice,” including sending four notices by express mail to respondent’s address); *Weihai Textile Group Import & Export Co., Ltd. v. Eruption Holdings, Inc.*, No. 21-MC-147-SWS, 2022 WL 18141749, at *7–8 (D. Wyo. Mar. 4, 2022) (finding multiple mailings to respondent from the arbitrator were reasonably calculated to provide proper notice to respondent: “Absent convincing evidence to the contrary . . . the Court defers to the arbitrator’s statements in the arbitral award of having mailed multiple notices . . . and confirmed their delivery”); *Shanghai Liyu Optoelectronic Co. v. Brite Lite Tribe, LLC*, No. 24-CV-80690-RLR, 2025 WL 1040836, at *6. (S.D. Fla. Apr. 8, 2025) (holding that attempted service was proper where petitioner had complied with the Shanghai arbitration’s notice procedures, petitioner did not know respondent had changed its primary physical address, and petitioner had attempted to send emails to respondent).

As one pertinent example from this Court, in *Ma v. Fang*, the petitioner initiated arbitration in China in front of the Xiamen Arbitration Commission (“XMAC”). No.

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SACV 21-441 PSG (ADSx), 2022 WL 1078867, at *1 (C.D. Cal. 2022). When petitioner attempted to confirm the international arbitration award, respondents claimed to not have notice of the arbitration because they had been living in the United States during the attempted service in China. *Id.* This Court noted that under XMAC’s service rules, XMAC was responsible for servicing the parties. *Id.* at *3. Under the XMAC rules, documents were “deemed to have been received” by respondents, if the documents were delivered to respondent’s present or last known “place of business, place of registration, residential address, address indicated on household registration, [or] address indicated on ID Card.” *Id.* XMAC attempted to serve respondents at their last known addresses, which were documented in the Chinese government’s database of official addresses. *See id.* (“The Chinese government . . . requires residents to update their records if they move within or out of China.”). The Court noted that the ID card for one of the respondents, Qing Ming, failed to indicate that he had relocated to the United States. *Id.* The Court determined that serving that respondent’s last known address (which he had failed to update in the government database) constituted proper notice. *Id.* The Court determined, in contrast, that another respondent had not received proper notice because she had indicated on her government ID card that she had relocated to Los Angeles. *Id.*

The Court finds that based on the facts of this case, CIETAC ensured proper notice was provided to Respondent. As Erdong’s legal representative,³ Respondent signed the Transfer Agreement with Petitioner. *Transfer Agreement* 18. The Transfer Agreement stated: “Any disputes arising from this Agreement, shall be submitted to [CIETAC] in Beijing for arbitration. The award shall be final and binding.” *Id.* Under the CIETAC Rules, CIETAC (via its Arbitration Court) serves respondents. *CIETAC Rules* Ar. 8(1).⁴ With regard to service, the CIETAC Rules specify:

³ “Under Chinese law, each corporation must appoint a single ‘legal representative.’” *Id.* at *3 (citation omitted). “The legal representative is the chairperson of the board of directors or the president of the corporation,” and they are “authorized to act on behalf of and bind the corporation and may be criminally liable for the corporation’s misconduct.” *Id.* (citations omitted).

⁴ CIETAC publishes its rules with an English translation at this weblink: <https://www.cietac.org/en/articles/25106#s5> (last visited July 17, 2025).

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Any arbitration correspondence to a party or its representative(s) shall be deemed to have been properly served on the party if delivered to the addressee or sent to the addressee's place of business, place of registration, domicile, habitual residence or mailing address, or where, after reasonable inquiries by the other party, none of the aforesaid addresses can be found, the arbitration correspondence is sent by the Arbitration Court to the address's *last known* place of business, place of registration, domicile, habitual residence or mailing address by registered or express mail, or by any other means that can provide a record of the *attempt* at delivery, including but not limited to service by public notary, entrustment or retention.

Id. (italics added).

CIETAC determined, and this Court agrees, that it followed the CIETAC Rules and provided proper notice to Respondent. CIETAC first served Erdong's business address—a reasonable place to begin given that Respondent controlled Erdong and was its legal representative and a shareholder. *See Arb. Award* 146, 150–51; *Wu Decl.*, Ex. A, 15. When the documents were unsuccessfully delivered to the Erdong Address, CIETAC sent, via express delivery, the arbitration notice to the Room 1507 Address, which was the last known residential address for Respondent and was the address documented in Respondent's household registration records and government-issued ID card. Dkt. # 29-1, ¶ 7, Ex. A (providing a screenshot and translation of Respondent's Chinese "Resident Identity Card," which lists Room 1507 Address as Respondent's address). Respondent acknowledges that the Room 1507 Address was his previous address in China and that it is still the address of his parents. *See Opp.* 3:15–22. When CIETAC again received an undelivered notice, CIETAC sent the arbitration documents to Respondent through notarized service and determined that at that point, the documents had been properly served. *See Arb. Award* 146–47.

Although Respondent has provided evidence that he did not receive actual notice (including a declaration from his parents stating they never received the documents at the Room 1507 Address, *see Opp.* 3:15–22), Respondent has not provided sufficient evidence that he did not receive *proper* notice. Following its arbitration rules, CIETAC attempted to provide service to Respondent's last known business address (the business at issue in the parties' Transfer Agreement) as well as Respondent's last known residential address (the last address listed on his ID card and his parents' address). Based on the

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foregoing facts, the efforts to serve Respondent were reasonably calculated to apprise Respondent of the arbitration proceedings and constituted proper notice.

B. Liquidated Damages Clause

Respondent contends that the Court should deny enforcement of CIETAC’s arbitration award because CIETAC applied a contract with an improper liquidated damages clause, which is an unreasonable penalty under California law and public policy. *Id.* 8:10–9:10.

As an initial matter, Respondent’s argument that enforcing a liquidated damages clause is against the public policy of California “has no relevance” because it is the public policy of the United States that is at issue. *See Dandong Shuguang Axel Corp., Ltd. v. Brilliance Machinery Co.*, No. C 00-4480 SC, 2001 WL 637446, at *6 (N.D. Cal. June 1, 2001) (granting petition to enforce international arbitration, including \$100,000 in penalties, and noting: “[W]hether assessing punitive damages in arbitration is against the public policy or prohibited in New York law has no relevance to the question of whether enforcing the [international arbitration commission’s] punitive damages is contrary to public policy of the United States”). Moreover, courts uphold punitive damages awards in arbitration, even when a state law or policy against them would otherwise preclude enforcement. *See id.* (noting the Supreme Court has held that the Federal Arbitration Act “preempts state law so that when the arbitration rules allow punitive damages, a state law or policy against them will not preclude enforcement” and “federal courts, including the Ninth Circuit, have upheld punitive damages awarded in arbitration”). Respondent has provided no pertinent authority to the contrary.

Accordingly, the Court finds that enforcement of this arbitration award, including its application of a liquidated damages clause, is not contrary to the public policy of the United States.

C. Attorney Fees

Finally, Respondent argues that the arbitration award’s inclusion of attorney fees violates the “American Rule,” was not in the parties’ Transfer Agreement, and is therefore against public policy. *Opp.* 9:13–27.

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However, both parties entered into the Transfer Agreement, which deferred any disputes to CIETAC, *Transfer Agreement* 18, and the CEITAC Rules specify: “The arbitral tribunal has the power to decide in the arbitral award, having regard to the circumstances of the case, that the losing party shall compensate the winning party for the expenses reasonably incurred by it in pursuing the case. In deciding whether or not the winning party’s expenses incurred in pursuing the case are reasonable, the arbitral tribunal shall take into consideration various factors such as the outcome and complexity of the case, the workload of the winning party and/or its representative(s), the amount in dispute, etc.” *CIETAC Rules*, Article 55(2), p. 45. The CIETAC Rules “explicitly permit the tribunal to award attorney’s fees,” and Respondent “has not pointed to any clear basis on which to conclude that the parties (in the [] contracts or elsewhere) intended to limit the authority that is otherwise conferred on the Panel by these Arbitration Rules.” *See Chongqing Loncin Engine Parts Co., Ltd. v. New Monarch Machine Tool, Inc.*, 552 F. Supp. 3d 341, 349 (N.D.N.Y. 2021) (rejecting respondent’s argument that CIETAC’s attorney fee award was not authorized by the parties’ contract); *ESCO Corp. v. Bradken Resources Pty Ltd.*, No. 10-788-AC, 2011 WL 1625815, *10–13 (D. Or. Jan. 31, 2011) (determining an international arbitration award including attorney fees was not against public policy).

Accordingly, CIETAC’s award of attorney fees falls within the scope of the parties’ contract and does not run contrary to the public policy of the United States.

IV. Conclusion

For the foregoing reasons, the Court **GRANTS** Petitioner’s second amended petition to confirm the arbitration award and for entry of judgment and **GRANTS** leave for Petitioner’s untimely declaration. Petitioner shall submit a proposed judgment consistent with this Order no later than **August 1, 2025**.

IT IS SO ORDERED.

Initials of Preparer

:

TJ
